

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-04

PORTS AMERICA CHESAPEAKE, LLC,

and

MARINE TERMINALS CORPORATION-EAST

COMPLAINANTS,

v.

APS EAST COAST, INC.

RESPONDENT.

**RESPONDENT'S REPLY TO THE EXCEPTIONS TO THE INITIAL DECISION
PUT FORWARD BY PORTS AMERICA CHESAPEAKE, LLC AND MARINE
TERMINALS CORPORATION-EAST**

PUBLIC VERSION

Peter F. Black
H. Allen Black
MILLS BLACK LLP
1215 19th Street NW
Washington, D.C. 20036
Telephone: (202) 967-4100
pblack@millsblack.com
hablack@millsblack.com

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**RESPONDENT’S REPLY TO THE EXCEPTIONS TO INITIAL DECISION
PUT FORWARD BY PORTS AMERICA CHESAPEAKE, LLC AND MARINE
TERMINALS CORPORATION-EAST**

Pursuant to 46 C.F.R. § 502.227, APS East Coast Inc (“APS” or “Respondent”) hereby submits its Reply to the Exceptions to the Initial Decision (“ID”) put forward by Ports America Chesapeake, LLC (“PAC”) and Marine Terminals Corporation-East (“MTCE”) (collectively referred to hereafter as “Ports America” or “Complainants”).

I. INTRODUCTION

A. Summary of Dispute

Respondent APS is an automotive processor that operates two adjoining roll-on, roll-off (“Ro-Ro”) terminals in the Port of Baltimore: the Atlantic Terminal and the Chesapeake Terminal (collectively, the “Terminal”). Complainants are two separate legal entities, although both are subsidiaries of Ports America Group, one of the leading terminal operators in the United States, and both perform stevedoring services throughout the Port of Baltimore.

The current dispute between Complainants and Respondent arose as a result of Respondent implementing a preferred stevedore program and access fees on stevedores using its Terminal and facilities. [Respondent’s Proposed Findings of Fact “RPFF” 13]

In late 2021 and into 2022, Respondent considered ways to manage its Terminal more efficiently and profitably. It ultimately decided to implement a preferred stevedoring program after seeing success with similar programs around the country, including in the Port of Baltimore by Ports America Chesapeake, which established itself as the exclusive stevedore at Seagirt Terminal.

As part of its preferred stevedoring program, Respondent sought a qualified partner as its exclusive preferred stevedoring service provider and invited bid proposals from several local stevedoring companies that it understood met its initial qualification criteria. Respondent ultimately selected Ceres Marine Terminal Services (“Ceres”) as its exclusive licensed stevedoring provider for its Terminal [RPFF 14, 20 22; CX_01328-1341; CX_01359]. That agreement was memorialized in an exclusive License and Stevedoring Agreement (the “Agreement”) which imposed a number of commitments on the preferred stevedore, and included a number of other provisions of significant benefit to Respondent, as further outlined in Respondent’s Exceptions to the Initial Decision [See CX_01328-1341; RPFF 22, 23; Respondent’s Exceptions to the Initial Decision – Doc No. 50]. In exchange for meeting those requirements, the Agreement provided for a reduced per-vehicle fee (the “preferred” rate) [CX_01329].

Respondent permitted other stevedores, including Complainants, to continue to provide stevedoring services at the Terminal [RPFF 29; CX_01359] to allow its carrier customers the option of using the stevedoring company they preferred. In recognition that other stevedores did not satisfy the same requirements or provide the same benefits to Respondent as the preferred stevedore under the Agreement, Respondent set a higher per-vehicle access fee for non-preferred stevedores, of \$25 per vehicle [RPFF 29; CX_01359].

Complainants, upon becoming aware of the applicable rates for non-preferred stevedores, objected to Respondent’s exercise of its right to manage its Terminal and privately contract in such a manner, and demanded that the exclusive preferred stevedore program be vacated, or otherwise be made accessible to all interested parties. [RPFF 31; CX_01380-1383]. Despite

Respondent's explanation for its decisions and the basis on which it concluded that the program was lawful [RPFF 33; CX_01520], Complainants initiated this proceeding.

B. Summary of Initial Decision

The Initial Decision found that Complainants had made out their *prima facie* case burden for unreasonableness under 46 U.S.C. § 41102(c) (unreasonable practices) and 46 U.S.C. § 41106(2) (unreasonable preference) by disregarding this Commission's requirement to assess the impact of challenged practices on the relevant market, and then treating the dispute as a simple disparate rate case, rather than a challenge to the practices that resulted from the exclusive Agreement between Respondent and Ceres. The Initial Decision's logic was that since Complainants were still permitted to operate on Respondent's terminal, the Agreement could not have been "exclusive."

Notwithstanding Respondent's Exceptions to the Initial Decision which object to that finding, by ignoring the Agreement between Respondent and Ceres, the Administrative Law Judge ("ALJ") found that: (1) Respondent had not been reasonable in its practice of charging different rates to stevedores, based on the premise that non-preferred stevedores obtained no additional benefits for the higher rates; and (2) although Respondent had produced sufficient evidence to justify its decision that Complainants were not qualified to be considered as the preferred stevedore based on their safety records, Respondent was not justified in charging the \$25 access fee.

The Initial Decision also found that the \$10 access fee was not properly before the ALJ, because it was not raised in the Complaint, Complainants had not amended their Complaint, the issue was only raised in the Complainants' Brief after discovery between the parties had closed, and the issue was substantively different in terms of application and amount from the \$25 non-

preferred stevedoring fee. The ALJ went on to note that had the issue been properly before him, the ALJ would have found the uniform \$10 access fee charged on all stevedores to be reasonable.

With respect to the alleged violation of 46 U.S.C. § 41106(3) (refusal to deal), the Initial Decision found that failure to invite Complainants to bid on the preferred stevedore program was a refusal to deal or negotiate under 41106(3), but that the failure was justified based on Respondent's concerns surrounding Complainants' safety record.

The Initial Decision ordered a cease-and-desist with respect to the invoicing or collection of the non-preferred \$25 per car access fee from Complainants, without clarifying if that amount could be collected from the ocean carriers, or if a lower amount could be assessed

The Initial Decision further denied Complainants' request for reparations, finding that they had not produced sufficient evidence to carry their burden of persuasion with respect to the evidence of their claimed loss, the cause of their loss, or the resulting quantum of damages. Specifically, the Initial Decision found that: (1) the proffered evidence concerning the claimed loss of volume of work was not persuasive as it was not verified or supported by other evidence; (2) Complainants failed to prove that the claimed volume loss was caused by the \$25 access fee, particularly in light of the comments of Complainants' customers who either stayed with Complainants or noted a desire to continue working together, Complainants' own witnesses' testimony of year-to-year fluctuations in volume, and Complainants' failure to rule out other independent causes; and (3) even if the causation of volume loss had been proven, Complainants failed to prove the quantum of lost profits.

The Initial Decision did not address the jurisdictional question noted in Respondent's Brief based upon the U.S. Supreme Court's recent decision in *Sec. & Exch. Comm'n v. Jarkesy*,

603 U.S. 109 (2024) regarding the scope of a regulatory agency’s jurisdiction over common law claims. However, the Initial Decision did recognize that Complainants’ claim for interference with its business relations alleged a business tort [ID at 32-33], exactly the type of claim that the U.S. Supreme Court held could not be adjudicated by a non-Article III regulatory proceeding. *Id.* at 140.

C. Summary of Complainant’s Exception

Complainant’s Exceptions to the Initial Decision focus on three specific findings, (1) the ruling on denial of reparations, (2) the ruling that Respondent was justified in refusing to deal, and (3) the ruling on the \$10 access fee.

The overwhelming majority of Complainants’ argument finds issue with the ALJ’s findings that that Complainants failed to provide sufficient persuasive evidence of lost volume, failed to prove a causal nexus between the access fee charged by Respondent and Complainants’ alleged lost volume, and failed to prove the quantum of its claimed damages.

Complainants argue that because the ALJ found a violation of the Shipping Act, they should be automatically entitled to reparations. That contention disregards the Commission’s clear and recent holding that “establishing a violation alone does not justify reparations.” *MAVL Capital Inc. Et Al., Complainants, v. Marine Transport Logistics, Inc. Et Al., Respondents.*, 2022 WL 2209421, at *3 (FMC Jun. 10, 2022).

Complainants argue that: (a) the ALJ applied an inappropriate “absolute certainty” standard of proof by questioning Complainants’ unverified, unsupported claims set out in spreadsheet to which no witness could testify regarding the data within; (b) the Initial Decision misunderstood the ro-ro stevedoring market, which Complainants allege for the first time should

be confined to Respondent's Terminal alone and not include the Port of Baltimore itself in which Complainants utilize 6 terminals that handle ro-ro cargo; (c) that Complainants' unsigned, anonymous, unsupported, and unverified spreadsheet of volume loss was sufficient proof of its claim of lost volume; (d) that despite the lack of any reliable evidence of causation excluding other possible causes of business loss, the allegation that the \$25 fee caused them to lose profits was sufficient; (e) and finally, if Complainants have not sufficiently proven their case, then the Commission should simply remand the case back to the ALJ so Complainants could be given another chance to prove their damages.

Complainants' second exception is to challenge the Initial Decision's ruling that Respondents were justified in refusing to deal with Respondents based on the evidence adduced.

Complainants' third exception to the Initial Decision contests the ALJ's ruling that the \$10 access fee was not properly raised in this proceeding because it was not in the Complaint. Despite the fact that Complainants did not seek leave to amend the Complaint, no discovery was conducted regarding the issue, and the fee is different in both scope and application, Complainants assert that a ruling on the uniform \$10 fee would not have broadened the issues involved and is identical in analysis to their complaint about the \$25 fee being imposed on Complainants but not the preferred stevedore.

Complainants also take exception to the ALJ's comment that even if the issue were properly raised, the \$10 fee would be deemed reasonable since it is equally applied to all stevedores.

Respondents address each of these exceptions in turn.

II. STANDARD OF REVIEW

When the Commission reviews exceptions to an ALJ's Initial Decision, it has “all the powers which it would have in making the initial decision.” 46 C.F.R. § 502.227(a)(6). The Commission therefore reviews the ALJ's findings de novo. *Id.*; see also *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 12-02, 2015 WL 9426189, at *5 (FMC Dec. 18, 2015). Further, while the Commission has all the powers which it would have in making the initial decision, it will adopt the findings of the Initial Decision which it determines, in light of filed exceptions, those findings of fact, application of law, and conclusions that “are well-reasoned and supported by evidence in the record.” *United Logistics (LAX) Inc. – Possible Violations of Sections 10(A)(1) and 10(B)(2)(A) of the Shipping Act of 1984*, Dkt. No. 13-01, 2014 WL 5316339, at *1 (FMC Feb. 6, 2014).

Ultimately, Complainants bear the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Under that preponderance standard, Complainants must show that their allegations are more probable than not. *DSW Int'l, Inc. v. Commonwealth Shipping, Inc.*, Dkt. No. 1898(F), 2012 WL 11914710, at *1 (FMC July 23, 2012); *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Dkt. No. 15-04, 2021 WL 3732849, at *3-4 (FMC, Aug. 18, 2021) (Order Affirming Initial Decision on Remand). See also *Mavl Capital Inc. Et Al., v. Marine Transport Logistics, Inc. Et Al.*, Dkt. 16-16, 2022 WL 2209421, at *2 (FMC Jun. 10, 2022).

Complainants also bear the burden of demonstrating that the Commission has jurisdiction to adjudicate their claims. *River Parishes Co, Inc. v. Ormet Primary Aluminum Corp.*, Dkt. No. 96-06, 1999 WL 125991, at *8 (FMC, Feb. 3, 1999). Further, ... “it is well established that once

a jurisdictional question is raised and evidence is submitted, a court or agency ‘must decide the jurisdictional issue, not simply rule that there is or is not enough evidence’ to decide the issue. *Id.* at *17.

III. REPLY TO REPARATIONS EXCEPTIONS

A. As an Initial Matter, the Commission’s Jurisdiction with Respect to Complainants’ Tort Claim Remains Unaddressed

Although Complainants did not manage to carry their burden with respect to its claimed volume of loss of business, the causation of the claimed loss, and the quantum of lost profits, the Supreme Court’s ruling in *Sec. & Exch. Comm’n v. Jarkesy*, 603 U.S. 109 (2024) removes Complainants’ claims for lost profits due to the alleged interference with its business activities from the jurisdiction of the Commission. Although the Initial Decision commented on this point briefly, it did not directly address the jurisdictional issue, and Complainants’ Exceptions failed to address the point at all.

1. The Commission must decide the jurisdictional issue

“[I]t is well established that once a jurisdictional question is raised and evidence is submitted, a court or agency ‘must decide the jurisdictional issue, not simply rule that there is or is not enough evidence’ to decide the issue. *River Parishes Co, Inc. v. Ormet Primary Aluminum Corp.*, Dkt. No. 96-06, 1999 WL 125991, at *17 (FMC, Feb. 3, 1999).

2. Complainants Address the *Jarkesy* Ruling In their Reply Brief

Given the timing of the Supreme Court’s decision, it is understandable that Complainants did not address the Supreme Court’s ruling in its Brief, but they did address it in their Reply Brief, arguing that its claim for lost business is not one that arises under common law since it was brought as a private party complaint under the Shipping Act. However, Complainants do not

distinguish their claim for lost business damages from common law tort claims and the Initial Decision acknowledged that Complainants' claim for damages for allegedly lost business constituted a tort under Maryland law. [ID at 32-33]

3. The Initial Decision Did Not Directly Address the Jurisdictional Issue regarding Complainants' Lost Business Claim

Despite having the issue raised in Respondent's Brief, Complainants' Reply Brief, and Respondent's Sur-Reply, the jurisdictional issue regarding Complainants' lost business claim was not directly addressed in the Initial Decision. The Initial Decision does note that "Complainants do not advance a valid theory of how conduct that would constitute a tort under Maryland law is also a violation of § 41102(c)." [ID at 33]

4. The Supreme Court Removed Common Law Torts from the Commission's Jurisdiction

The U.S. Supreme Court ruled that the "Constitution prohibits Congress from withdrawing from judicial cognizance any matter which, from its nature, is the subject of a suit at the common law." *Sec. & Exch. Comm'n v. Jarkesy*, 603 U.S. 109, 127 (2024). The Court further held that such matters "may not be removed from Article III courts." *Id.* at 111. The Court also ruled that its precedents have held that "where the action involves rights and remedies recognized at common law, it must preserve to parties their right to a jury trial" under the Seventh Amendment to the Constitution. *Id.* at 138.

5. Complainants' Lost Business Claim is a Common Law Tort and is therefore outside of the Commission's jurisdiction

Claimants' claim for damages is clearly a common law claim of the type long recognized in the Restatement (Second) of Torts. See, e.g., RESTATEMENT (SECOND) OF TORTS, Division 9, Chap. 37. (1979) and was readily identified as such in the Initial Decision [ID at 32-

33]. Thus, even if Complainants had proven their claim of lost volume, the causation of lost volume by the \$25 access fee, and the quantum of their claimed lost profits, their claim would still be barred on jurisdictional grounds as a result of the Supreme Court’s recent ruling in *Jarkesy, supra*.

B. Complainants Have Not Proven An Entitlement to Reparations

1. Applicable Reparations Law

As the ALJ correctly noted, Complainants bear the burden of proving that they are entitled to reparations. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022). With respect to proving an entitlement to reparations: (a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation. *Id.* Further, reparations will only be awarded based on actual damages, which means ‘compensation for the actual loss or injuries sustained by reason of the wrongdoing, which complainants must show to a reasonable degree of certainty. *Id.* (citations omitted)

2. Standard applied by the ALJ

Complainants argue that the Initial Decision applied an “absolute certainty” standard of precision with respect to its burden of persuasion on the quantum of damages. That assertion is simply not accurate.

Rather, the Initial Decision makes clear that the ALJ applied the Commission’s well-established “reasonable certainty” standard. The claimed “absolute certainty” standard that Complainants complain about is in fact a “strawman” argument that finds no basis in the Initial Decision. Such a standard was not applied by the ALJ in the Initial Decision, and indeed does

not appear in either Initial Decision, or despite Complainants' argument, in *Rose International, Inc. v. Overseas Moving Network*, Dkt. No. 96-05, 2001 WL 865708 (FMC, Jun. 7, 2001). In fact, *Rose* simply reiterates the reasonable certainty standard with respect to reparations, noting that:

Complainant must prove with competent evidence that **it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with reasonable certainty**. In some instances, when precise evidence measuring financial injury is unavailable because of the nature of the violation, the Commission will rely on reasonable estimations, as do the courts, ...However, **alleged damages based on unreliable or speculative evidence are not allowed**. (internal citations omitted) (emphasis added)

Rose, at *76.

In *Rose*, much like the matter at hand, the Commission noted that while the complainant there had provided profit and loss statements, and had provided its own assessment of how many containers it would have handled but for the respondent's actions, the complainant had failed to properly consider the effects of competition and other market factors in its analysis of lost profits, and had provided no proof that it would have handled all of the cargo it alleged. Thus, the Commission in that matter found that the complainant's failure to provide an objective analysis of otherwise unconvincing evidence provided a thoroughly inadequate basis upon which to award damages. *Id.*

The Commission in *MAVL Capital Inc.*, 2022 WL 2209421, at *7 put it succinctly when it wrote:

Complainants' evidence rises or falls on its own merit...Respondents do not have the burden of proof. If the Complainants' evidence is inherently too weak or unreliable to reasonably infer that the amount they seek reasonably approximates their actual injury – they have not met their burden of persuasion and their claim fails and reparations are not awarded. That is exactly how the ALJ applied the law. (internal citations omitted)

3. Complainants evidence did not meet the reasonable certainty standard

In the present matter, much like *Rose* and *MAVL*, Complainants have not provided an objective analysis of their evidence either with respect to the causation (which would have needed to consider the relevant market for competition) or the quantum of alleged damages, and the ALJ's ruling that such evidence was unpersuasive does not at all mean a magically higher standard was applied; it simply means that Complainants did not meet their burden.

Complainants erroneously assert that the evidentiary requirements of independent assessments are not necessary; yet they clearly recognize that *Rose* is applicable and relevant case law, as is *MAVL*, *supra*, and *James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal Dist.*, Dkt. No. 94-32, 2003 WL 22067203 (FMC, August 26, 2003). In *Flanagan*, the Commission focused on a fee and the proof necessary to show it was the fee itself that caused the Complainant to lose business. The Commission ruled that a decline in revenues and market share alone was not proof of the cause of such decline and that year-to-year comparisons did not account for other variables such as "productivity, quality of service, overtime cost containment, *etc.*, that affect customers' choice of stevedores." *Id.* at *10 (internal citations omitted). Further, the lack of an independent or expert analysis of the proposed methodology was deemed questionable, just as it was by the ALJ in the present matter. *Id.*

Thus, Complainants did not prove they were entitled to reparations. While Complainants assert that the finding of a Shipping Act violations should have required the Presiding Officer to "direct the payment of reparations to the complainant for actual injury" (Complainants' Exceptions at 17; 46 U.S.C. § 41305(b)), simply put, Complainants did not carry their burden of persuasion with respect to the causation or quantum of their damages. There is no presumption

of damages resulting from a Shipping Act violation, and Complainants did not prove that the actions taken by Respondent were the cause of any alleged loss of business. Such proof would be necessary for Complainants to establish an entitlement to reparations.

4. Complainants' Did Not Address, or Prove, a Relevant Market

Part of the reason that Complainants were unable to prove their damages resulted from their complete failure to address the relevant market and the lack of any impact of Respondent's actions on competition in that relevant market – in short, their *prima facie* burden.

Complainants did not define the relevant product market nor the relevant geographic market as is required to shift the burden of justifying its challenged practice to Respondent, as required by Commission precedent. See *Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, Dkt. No. 11-11, 2013 WL 9808672, at *31-34 (ALJ, Jan. 10, 2013) (stating and then applying the Commission's test of determining the relevant product and geographic market and then assessing the impact on competition of the practice in question to determine if the burden of justification shifts to Respondent or the inquiry is at an end). In fact, Complainants did not mention the relevant market at all in their Brief, and argued that such authority cited by Respondent in that regard was not relevant [See ID at 5].

Complainants only now, in their Exceptions to the Initial Decision, refer to a relevant geographic market (and not a product market) in an effort to bolster their argument that Respondent's actions caused them harm and to establish an artificial and unsupportable boundary applicable to its claimed damages. They assert – for the first time in this proceeding – that the relevant geographic market is confined solely to Respondent's Terminal. They further argue that the single-terminal market is a zero-sum captive one that prevents additional competition; where all cargo is stevedored by either “Ports America” (referring to the two separate legal entities as a

single commercial entity) or Ceres. Complainants have introduced no evidence to support such assertion and raise this issue only now. Complainants appear to realize that their failure to analyze the product and geographic market and relevant impact on competition is fatal to their damages claims and now appear to be seeking to insert a market analysis through the backdoor of their Exceptions.

5. The Initial Decision Did Not Rule on the Relevant Market

A market and competition analysis was not included in the Initial Decision. The Initial Decision, after arbitrarily concluding that the Agreement between Respondent and Ceres was not exclusive, a point neither raised nor argued by Complainants, dismissed the Commission's extensive case law on the *prima facie* case burden on Complainants and ruled that "it is not necessary for Complainants to show that Respondent's conduct affected the relevant market for Complainants to make a *prima facie* showing that Respondent violated § 41102(c)" [ID at 23-24]. Respondents take exception to this aspect of the Initial Decision as argued in its filed Exceptions to the Initial Decision.

6. The Undisputed Evidence in the Record Confirms the Relevant Market is the Port of Baltimore

The relevant geographic market applicable to Complainants' allegations is the Port of Baltimore, in which Complainants operate at no less than nine terminals, including (1) Seagirt, (2) Dundalk, (3) Atlantic, (4) Chesapeake, (5) Fairfield, (6) North Locust Point, (7) TradePoint Atlantic, (8) Intermodal Container Transfer Facility, and (9) South Locust Point [RPFF No. 1]. Ports America Chesapeake operates exclusively at Seagirt terminal as the sole stevedore [RPFF No. 2] and Complainants stevedore a wide variety of cargo including container, breakbulk, auto ro-ro, and bulk cargo. [RPFF No. 4] While the relevant product market is stevedoring services generally, even if the market was to be artificially narrowed to the stevedoring of only ro-ro

cargo, Complainants perform auto and ro-ro stevedoring service at no less than six of the Port of Baltimore's terminals, to wit: Dundalk, Fairfield, South Locust Point, Atlantic, Chesapeake, and Tradepoint Atlantic. [RPFF No. 4]

In short, the product market for stevedoring services is much broader than Respondent's Terminal in the Baltimore area. Complainants failed to address this issue at all prior to their Exceptions and provide no evidence whatsoever to support this last-minute contention. Complainants cannot plausibly raise their relevant market argument at this late stage, and as a consequence of failing to raise the argument earlier, it should be deemed waived. *Shipco Transport Inc. v. JEM Logistics, Inc.*, FMC Dkt. No. 12-06, 2013 WL 9808695, at *3 (FMC Aug. 21, 2013) (affirming an initial decision on default where respondent failed to raise a defense in a timely fashion despite multiple opportunities and instead "first raised the defense after the Initial Decision had been issued and did not provide evidentiary support of his claim.")

7. Commission Precedent Confirms the Relevant Geographic Market for Stevedoring Services is the Port of Baltimore

Prior Commission precedent confirms that the relevant geographic market for stevedoring services is the Port of Baltimore. An analysis of the relevant geographic market in *Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, Dkt. No. 11-11, 2013 WL 9808672, at *32 (ALJ, Jan. 10, 2013) found that "the determination of the relevant geographic market must be derived from the realistic options for obtaining ... services which are available to ocean carriers calling at the Port of Baltimore...[i]t is not confined to a single terminal or terminals and does not extend to other ports...[f]or the reasons stated above, I have determined that the relevant geographic market is the Port of Baltimore." *See also All Marine Moorings, Inc. v. ITO Corp. of Baltimore*, 1996 WL 264720, at *13, Dkt No. 94-10 (FMC, May 15, 1996)

(“...we find that the ALJ correctly concluded that the relevant market for the services at issue was the Port of Baltimore.”).

8. Even if the Relevant Market were Respondent’s Terminal, It is Not a Captive Market

Complainants’ assertion that Respondent’s Terminal is a zero-sum captive market between two entities ignores the reality that PAC and MTCE are two separate companies which offer stevedoring services – not one – and that Respondent’s Terminal, unlike PAC’s exclusive stevedoring of the Seagirt terminal, is open to any other Baltimore stevedoring company that agrees to pay the access fee applicable to all stevedores. Any alleged loss of volume by PAC could in theory flow to MTCE, or any other stevedore in the Port of Baltimore. Further, depending upon contractual obligations, ocean carriers are free to discharge their cargoes at other terminals in the Port of Baltimore [REDACTED]

[REDACTED] [See Respondent’s Sur-Reply, Doc No. 42 at 5-8].

Respondent’s Terminal does not make up the whole of the Port of Baltimore, nor is it the sole destination in the Port of Baltimore for ro-ro cargo.

In an effort to shore up their argument that ocean carrier customers have only two choices when it comes to stevedoring providers at Respondent’s Terminal, Complainants provided citations to the record. However, those citations are troublingly misleading. For example, in support of the foregoing contention, Complainants cite to the following parts of the record:

CX_00117-118:

Mr. Morrissey (Complainants’ Counsel): In Baltimore, what stevedores were operating at that time at the AMPORTS facilities?

Mr. Jacob Brown (Respondent): I believe it would have been Ports America and Ceres. Potentially APS.

PFF ¶ 105: Ports America and Ceres were both operating as stevedores at the AMPORTS terminals in Baltimore prior to AMPORTS introduction of the “preferred stevedoring” arrangement.

PFF ¶ 139: During the relevant time period, the only stevedores loading or unloading automobile cargo at AMPORTS’ terminals were Ceres, PAC, and MTCE.

While the foregoing establishes that the stevedores operating consistently at Respondent’s terminals during the relevant period were Ceres, PAC, and MTCE, it does not establish that ocean carriers have only two choices with respect to stevedoring services in the Port of Baltimore. Had an ocean carrier desired to use a stevedoring provider that was not Ceres, PAC, or MTCE, it most certainly could have. Respondent’s Terminal was, during the relevant time and continues to be, open to competing stevedores, subject to the terms of its tariff. Complainants do not provide nor cite any evidence to support their “captive market” allegations. Thus, the allegation that any relevant market, much less Respondent’s Terminal, is a zero-sum market between only two (or three) competing entities is not rooted in reality.

9. Complainants Theorize, But Do Not Prove, Lost Volume

Similarly, Complainants’ assertion that the reduction in their combined volume (for both PAC and MTCE collectively) went to Ceres has not been proven.

While the ALJ found some support that one ocean carrier alleged that it switched stevedoring providers as a result of the preferred stevedore program, the ALJ further found that the single suggestion of shifted business does not, nor cannot, support the whole of Complainants’ damages claims. Further, the late-filed contractual agreement included with Complainants’ Reply Brief in connection with that specific carrier customer [REDACTED] and undercuts Complainants’ argument with respect to the loss of that specific volume business as a consequence of the preferred stevedore program. [CX_02259]

Complainants provided no evidence that reflects Complainants' claimed volume loss corresponding to gain by Ceres, and provided no evidence to support their contention that Complainants actually lost the alleged stevedoring volume at all. Complainants' analysis only showed a reduction in volume at Respondent's Terminal and did not account for volume changes throughout the Port of Baltimore or other relevant geographic markets. Further, as outlined in Respondent's Sur-Reply, Complainants failed to mention any efforts to shift their carrier customers to alternative terminals [REDACTED], or even any considerations of doing so. [CX_02086, CX_02259, CX_02272-2321]

Complainants provided no independent analysis to confirm their own self-serving claims of volume loss data, or indeed any support for their data at all, merely an *ipse dixit*. Complainants provided nothing to rule out, or even address, the reasonable possibility that the relevant ocean carriers did not merely have lower volumes that year, and nothing to confirm that the relevant ocean carrier did not use the stevedoring fee as a convenient excuse to switch stevedore companies based on other concerns with Complainants' performance, safety metrics, or other issues. In fact, Complainants admitted to [REDACTED]
[REDACTED]
[REDACTED]; business it clearly did not lose a result as a result of Respondent's actions. [Complaints' Exceptions to the Initial Decision at 12-13, CX_01130-37]

Thus, the Initial Decision correctly found that Complainants did not carry their burden regarding the causation of its damages and the evidence it did put forward was correctly ruled by the Presiding Officer to be "unpersuasive." [ID at 39]

10. Complainants' Own Actions Likely Contributed to Their Alleged Volume Loss

The record suggests that Complainants' own actions may have played into their alleged loss of business. In early April 2022, [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]. [RPFF No. 55]

Complainants did not attempt to compete by absorbing any of the fee, nor did they encourage their customers to use any of the several other ro-ro terminals available in the Port of Baltimore at which Complainants performed stevedoring services. In the following months, Complainants did not: (i) decline stevedoring work at Respondent's Terminal, (ii) pass through the fees, (iii) pay the fees, or (iv) send their customers elsewhere. Rather, they operated at an actual competitive advantage to the preferred stevedore by not paying any access fee while the preferred stevedore, Ceres, did pay its access fee. [RPFF Nos. 37, 38, 39, 40, 41, 42, 43]

11. Complainants did not prove their quantum of damages

With respect to the quantum of damages alleged, the alleged volume loss and resulting damages calculations were not verified, and despite the damages calculations being presented to counsel only hours before the deposition of its corporate witness, [RPFF No. 58] Complainants' joint corporate representative, Mark Schmidt, was unable to confirm who prepared the estimates of lost profits, could only guess as to who might have done so, was unaware of how the estimates were determined or the calculations carried out, and had no idea what went into the creation of Complainants' lost profit numbers. [RPFF No. 60] In evidentiary terms, the "evidence" on

which Complainants rely, was unauthenticated, unverified, anonymous hearsay. It was no evidence at all.

Complainants now attempt to explain their calculations and argue that third-party or expert corroboration is not needed; however its claim for damages and the resulting calculations are based solely on those estimates which are not verified, signed, or authenticated by any person with knowledge. [RPFF No. 59] Complainants assert that the data provided is sufficient, and even claims that it is “credible, verifiable and reliable” [Complainants’ Exceptions to the Initial Decision at 26] but, leaving aside the fact that Respondents dispute that the proffered “data” is any of those things, Complainants’ volume data still fails to address the issue of independent verification.

No such independent verification exists, and Complainants argue that no such corroboration is necessary to make its anonymous hearsay submission persuasive. The ALJ disagreed –a reasonable, indeed inescapable conclusion. Complainants nonetheless continue to argue that their unverified anonymous assessments of lost profits should be taken as gospel and fall back on claiming they are unable to comprehend how such evidence could be “unreliable or speculative” (referring to *Rose*, 2001 WL 865708 at *76). However, as the Commission noted in *Rose*:

The Commission has found that a complainant that has relied on its president to supply the evidence of damages via a damages summary, even though supported somewhat by additional evidence, was “an unconvincing basis upon which to award damages.” Without any objective analysis of the otherwise unconvincing evidence presented ..., the conclusions drawn from that evidence provide a thoroughly inadequate basis upon which to award damages.”

Id at *79

C. Complainants are Not Entitled to a Remand

Having failed to prove entitlement to reparations, Complainants are not entitled to a remand. Complainants argue that if the Commission determines the evidence in the record is insufficient for a full determination of reparations, the appropriate remedy should be a remand pursuant to the Commission's Rule 251. However, a remand is only appropriate if Complainants have first established an entitlement to reparations. Commission Rule 251 states that:

“If complainant is found entitled to reparation, the parties thereafter will be given an opportunity to agree or make proof respecting the shipments and pecuniary amount of reparation due before the order of the Commission awarding reparation is entered.”

46 C.F.R. § 502.251 (emphasis added).

Commission Rule 252 similarly requires a predicate finding that a complainant is entitled to reparations:

When the Commission finds that reparation is due, but that the amount cannot be ascertained upon the record before it, the complainant shall immediately prepare a statement in accordance with the approved reparation statement in Exhibit No. 1 to this subpart, showing details of the shipments on which reparation is claimed.

46 C.F.R. § 502.252

In this present matter, Complainants have not proven they are entitled to reparations. Their evidence with respect to volume loss generally, as well as to the cause of that volume loss, was ruled “unpersuasive” in the Initial Decision, with a well-reasoned analysis for that conclusion.

Although Complainants refer to *Ceres Marine Terminal, Inc. v. Maryland Port Administration*, Dkt. No. 94-01, 1997 WL 35281266, at *41-42 (FMC Oct. 10, 1997), that case is not on point. In *Ceres*, the Commission found the Initial Decision to provide an insufficient

basis for review and therefore vacated it, deciding the merits of the proceeding de novo. *Id.* at *31. The Commission then proceeded to find Complainant entitled to damages, and in light of the continuing nature of the violations, remanded the matter to the office of Administrative Law Judges to determine reparations due in accordance with Rules 251 and 252. Unlike in *Ceres*, in this case, the ALJ considered and addressed the evidence of the record and relevant cases with regard to the issues related to the claims for reparations. Because the ALJ found on the basis of the record and the applicable cases that Complainants were not entitled to reparations, Complainants have no basis to call for a remand to try again to prove their claimed damages.

IV. REPLY TO COMPLAINANTS' REFUSAL TO DEAL EXCEPTION

The Initial Decision ruled that Respondent, by failing to include Complainants in its initial bidding process, may have refused to deal with Complainants but such a refusal was reasonable given Respondent's prior experiences. The Initial Decision also found that Respondent's request for additional records and metrics did not constitute a refusal to deal.

Complainants assert in their Exceptions that excluding them from the competitive bidding process was a refusal to deal and that Respondent's concerns about its safety record were unfounded and pretextual, and thus Respondent was not justified in failing to invite Complainants to bid to become its preferred stevedore.

Respondent disputes the notion that its decision to not include Complainants in its request for quote ("RFQ") stage in connection with its process for selecting an exclusive preferred stevedore constituted a "refusal to deal or negotiate," but agrees with the Initial Decision's assessment that not doing so was justified.

Section 41106(3) of the Shipping Act states that a marine terminal operator may not “unreasonably refuse to deal or negotiate.” 46 U.S.C. § 41106(3). Such an allegation requires a two-part inquiry: (1) whether respondent refused to deal or negotiate, and, if so, (2) whether its refusal was unreasonable. *Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, Dkt. No. 17-07, 1 F.M.C.2d 29, 40, 2018 WL 1942720, at *11 (ALJ, April 17, 2018) (citations omitted). Only when a terminal operator is shown to have refused to negotiate or consider *a bona fide* offer from an offeror without justification has the Commission found a violation. *Canaveral Port Auth. - Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or Negotiate*, Dkt. 02-02, 2003 WL 723336 (FMC, Feb. 24, 2003). In the *Canaveral* case, the Commission reviewed prior precedent which confirmed that a ruling on whether a refusal to deal or negotiate was unreasonable need not be reached when there is no attempt by the complainant to deal or negotiate at all. *Id.* at *18 (reviewing *Chilean Nitrate Sales Corp. v. San Diego Unified Port District*, 24 S.R.R. 1314 (1988)).

In the instant matter, Respondent did not refuse a proposal from Complainants, nor did Respondent shut out Complainants from consideration . [RPFF No. 14] While Complainants did not receive an RFQ, they were initially considered for inclusion but deemed not to be a suitable long-term partner at an initial screening phase. [RPFF No. 16] Further, the assertion that Respondent relied solely on two videos, ignores the other evidence on which Respondent did rely, as cited by the ALJ. [ID at 36; See also RPFF No. 16, 19]

Complainants’ argument and the Initial Decision’s ruling on this specific point, if taken to their logical conclusion, would lead to a rule that a failure to include every potentially interested entity, even one found to be unsuitable, in a yet-to-be-determined area whenever a party wishes to contract with another party, would constitute a refusal to deal under the Shipping Act for the

entity that was not included. Such an absurd result has no basis in law or this Commission's precedents and would result in seriously constraining the right to contract between private parties subject to the Shipping Act. The Shipping Act imposes no requirements for private terminals to conduct a competitive bidding process when contracting with service providers, and the Shipping Act does not guarantee the right to enter into a contract.

Nevertheless, once Complainants raised the issue of their failure to receive an RFQ, Respondent assured them that they would be included in the next RFQ round and invited Complainants to submit their safety and efficiency records for a pre-qualification review, notwithstanding Respondent's experience and understanding that Complainants had subpar safety records, and were less efficient than other stevedores who were included in the original RFQ. [RPFF No. 13, 16-19, 35]

- *Mr. Morrissey (Complainants' Counsel)*: Do you consider, in your professional role, do you consider Ports America to be a safe stevedore?

Mr. George Molyneaux (Respondent's Terminal General Manager): I don't know if I can answer that. I don't know their track record. I am not privy to that information.
(CX_00833)

- "I only recall that the ILA did not have a favorable opinion of Ports America as a – with regard to safety concerns." (Jacob Brown, CX_00149-150)
- "All I know is that the ILA specifically raised to [Respondent] the safety concerns of one particular stevedoring company, which was Ports America." (Jacob Brown, CX_00152)
- "Because after talking to my local management team, reviewing video footage of unreported accidents by Ports Americas on our terminal, and speaking with local ILA

- membership, I just felt that the Ports America leadership was not something that we wanted to partner with.” (Ben Buben, in response to a question of why Ports America was not included in a list, CX_00371)
- “Off top of my head, I have had a couple issues with Ports America. One was like, for example, the van, that they struck our van. And the other time was one of their vehicles, the driver struck one of our poles in the lot.” (George Molyneaux, CX_00831)
 - “We were having difficulties in the Baltimore area with local Ports America management in terms of speeding on our terminals; trashing, not cleaning up after themselves on our terminals. We had talked to them about those issues in the past, and they just weren't getting resolved. So, again, one of our factors is companies that we had had good experiences working with in the past.” (Steve Taylor, CX_00597)
 - “...ultimately felt Ports America would not be a good partner for us” (Steve Taylor, CX_00603)
 - “Generally, Ceres is more productive historically.” (George Molyneaux, in response to a question about material differences between Ceres and Ports America stevedoring performance, CX_00830)
 - “Pretty much my employees tell me if it is a Ceres ship it will be done in time.” (George Molyneaux, CX_00831)

Despite their complaints in this proceeding, Complainants declined to make an offer or to make any attempt to negotiate. Instead, they ignored Respondent’s invitation to participate in an evaluation and disputed Respondent’s right to establish a preferred stevedore program or assess a

fee on the use of its terminals by stevedores. [RPFF No. 44] Complainants then instituted the present proceeding.

As the Initial Decision correctly points out, if Complainants had the “world class” safety record they now claim in this proceeding, why didn’t they share it? Presumably, if they had the record they now contend, they would have willingly shared their records with Respondent; not only to seek reconsideration of their original rejection at the initial qualification stage, but more broadly to publicize their claimed favorable records. But Complainants did not do so – not when the preferred stevedore program was still being finalized, and not at any time during the course of this litigation.

Thus, the Initial Decision, while incorrectly equating Respondent’s finding that Complainants were not satisfactorily qualified for the RFQ stage of the search for an exclusive preferred stevedore with a refusal to deal, correctly found that Respondent’s actions were justified and thus not a violation of Section 41106(3).

V. REPLY TO COMPLAINANTS’ EXCEPTION OF THE \$10 ACCESS FEE RULING

In the Spring of 2024, Respondent sought to streamline its regulation of stevedores on its Terminal and implement updated Tariff provisions regarding stevedoring on the Terminal. Respondent sought to do this by imposing uniform requirements similar to those previously imposed solely on the exclusive preferred stevedore, and imposing a uniform \$10 access fee on all stevedore-users of the Terminal, effective June 1, 2024.

Despite Respondent addressing the very concerns of which Complainants had originally complained, Complainants in response sought to bootstrap a new complaint about the \$10 access fee into the current proceeding in their Brief to the ALJ. Complainants now complain that even

though the uniform \$10 access fee is plainly non-discriminatory, it somehow fails to reasonably allocate the cost and benefits received by stevedores.

In short, Complainants argue that Respondent, a private terminal operator, has no right to charge stevedores for the use of its Terminal to engage in for-profit, commercial activity, using the Terminal's roadways, lighting fixtures, parking areas, signage, security and gate access services, equipment storage areas, snow removal and other weather-related services, and exposing the Terminal to potential liabilities from the presence of the stevedores' large workforces. Complainants appear to argue that whenever a fee is assessed by a privately-owned terminal, the terminal becomes subject to a complaint before the Commission and must submit its cost accounting to the Commission for review and a blessing of any return on its investment. That of course, is not the law under the Shipping Act, and Complainants provided no authority for such an unworkable proposition.

Complainants take exception to the ALJ's finding that the challenge to the uniform \$10 access fee was not properly before this proceeding. The ALJ's finding was based on the fact that the issue was raised for the first time in Complainants' Brief, just over a year after the filing of the Complaint, with no request by Complainants to amend their Complaint, and also on the consideration that the challenge to the uniform \$10 access fee would broaden the issues with no opportunity for discovery or to prepare a defense.

While Complainants argue that the uniform \$10 access fee is unreasonable in the same manner that the \$25 access fee charged to non-preferred stevedores is unreasonable and therefore the last-minute additional complaint, they contend, would not broaden the issues; such an argument is obviously not credible.

Indeed, in the very same paragraph in their Exceptions, Complainants argue that the uniform \$10 access fee is unreasonable, even though not discriminatory, because AMPORTS allegedly failed to allocate its Terminal costs among “different classes of terminal user”: an allegation that appears nowhere in their Complaint [Complainants’ Exceptions to the Initial Decision at 45, Doc 52].

In their further exception to the ALJ’s conclusion that even if the uniform \$10 access fee were properly raised in this proceeding, he would not find it unreasonable, Complainants cite to the same cases that they had cited in their Brief. However, in the Initial Decision, the ALJ accurately pointed out that “[a]ll of the cases that Complainants cite for support...involve a situation where one party or group was singled out or was made to bear a significantly higher share of costs than others.” [ID at 29] That is clearly not the case with the uniform \$10 access fee, imposed uniformly on all stevedores.

That uniform \$10 access fee enables Respondent to recover from the stevedore users of the Terminal some reimbursement for Respondent’s expenses for the infrastructure and services used by those stevedore users on the Terminal. Without an access fee, stevedore users would reap the benefit of those expenses incurred by Respondent, while the stevedore users carry on their own profit-making activities on Respondent’s Terminal for free. The Shipping Act does not compel terminal owners to provide a charity program for commercial entities such as Complainants.

VI. CONCLUSION

For the reasons set forth above, Respondent respectfully requests that this Commission reject the Exceptions submitted by Complainants and affirm the findings of the ALJ in the Initial Decision rejecting Complainants’ claims for reparations, allegations of a violation of 46 U.S.C. §

41106(3) (“Refusal to Deal”), and attempt to bring a new, last minute complaint concerning the uniform \$10 access fee.

Respondent further requests that this Commission consider Respondent’s Exceptions to the Initial Decision and find that Complainants failed to meet their initial burden of production to establish a *prima facie* case of anti-competitive impact within the relevant market. To the extent that any claims remain thereafter, Respondent request this Commission find that the actions of Respondent did not violate the Shipping Act, and that Complainants’ claim for lost business is a common law tort outside the jurisdiction of the Commission or that Complainants otherwise failed to carry their burden with respect to the causation and quantum of damages and grant such further relief as may be just and proper.

Dated: March 3, 2025

Respectfully Submitted,

By: /s/ **Peter F. Black**

Peter F. Black
H. Allen Black
MILLS BLACK LLP
1215 19th Street NW,
Washington, DC 20036
Tel: (202) 987-4100
Email: pblack@millsblack.com
Email: hablack@millsblack.com

Counsel to APS East Coast, Inc.

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

1. Office of the Secretary
Federal Maritime Commission
secretary@fmc.gov
2. Hon. Richard Ambrow - *Administrative Law Judge*
Federal Maritime Commission
Judges@fmc.gov
3. Gerald A. Morrissey III - *Counsel for Complainants*
HOLLAND & KNIGHT LLP
Gerald.morrissey@hklaw.com
4. Kristine O. Little - *Counsel for Complainants*
HOLLAND & KNIGHT LLP
kristine.little@hklaw.com
5. Carrol Hand - *Counsel for Complainants*
HOLLAND & KNIGHT LLP
carrol.hand@hklaw.com

Dated: March 3, 2025

Respectfully Submitted,

By: /s/ **Peter F. Black**

Peter F. Black
MILLS BLACK LLP
1215 19th Street NW,
Washington, DC 20036
Tel: (202) 987-4103
Email: pblack@millsblack.com

Counsel to APS East Coast, Inc.